

Committee: Economic and Financial Affairs Council

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People's Republic of China on the European Energy Crisis

The European Union found itself in a precarious situation following the start of the ongoing war between the Russian Federation and Ukraine. In June 2021, Russia exported just over 3 billion cubic meters of gas to Europe. These imports accounted for 45 percent of all European gas consumption, demonstrating the continent's heavy reliance on Russian energy. However, after the Ukrainian attacks on the Nord Stream Pipeline in 2022, Russia retaliated by significantly reducing energy exports. Additionally, many EU countries attempted to punish Russia by halting all Russian energy imports. These actions caused financial hardship that stretched far beyond the European continent, causing Europe to seek additional energy partnerships and thrusting developing nations into energy poverty.¹ These new gas partnerships relied on the rapid adoption of Liquefied Natural Gas (LNG), which currently accounts for 37 percent of all European gas consumption. Furthermore, European policymakers and investors now find themselves at a crossroads between quickly securing Europe's energy supply and executing long-term climate ambitions.² The urgency of the European energy crisis is underscored by the fact that European energy costs are, on average, double and triple those of the US, demonstrating the imperativeness of stabilization and reducing reliance on foreign energy within Europe. However, the European Green Deal aims to make Europe fully carbon-neutral by 2050, requiring the EU to reduce fossil fuel usage and increase investments in renewable energy initiatives while maintaining adequate energy reserves to ensure stable energy prices.

Following Russia's weaponization of its energy exports, the United Nations worked to support impacted developing nations outside of Europe. In 2022, the *UN Global Crisis Response Group (GCRG)* published a report outlining how developed nations and local governments can support developing countries to avoid a severe energy crisis. The report argued for energy subsidies through price caps, direct cash deposits, and support for public utility companies in addition to continued investments into renewable energy and global collaboration. Although these efforts avoided a catastrophic global energy dilemma, some of these measures pushed economically challenged nations, especially in the Middle East and Asia, into economic hardship with astronomical national debt. Further, the UN Sustainable Development Goals include global objectives focused on promoting universal access to affordable and sustainable energy. Although these goals don't specifically target Europe, a 2022 UN-Energy report outlines how the UN has established an energy compact that's mobilized \$600 billion in funding for improving energy access and a transition to renewables in emerging nations. The report further emphasizes how supporting these countries is imperative to slowing worldwide climate change.

In 2022, the People's Republic of China refrained from imposing detrimental sanctions on Russia. Instead, China increased its crude oil and gas imports while other nations conversely

¹Northam, Jackie. "Russia Is Using Energy as a Weapon. Could This Spread to the Rest of the World?" *NPR.org*, 2 Nov. 2022,

[npr.org/2022/11/02/1133667483/russia-is-using-energy-as-a-weapon-could-this-spread-to-the-rest-of-the-world](https://www.npr.org/2022/11/02/1133667483/russia-is-using-energy-as-a-weapon-could-this-spread-to-the-rest-of-the-world).

²Storz, Natalia. "A New European Commission Faces Three Key Issues at the Heart of the Clean Energy Transition." *Atlantic Council*, 8 Oct. 2024,

www.atlanticcouncil.org/blogs/energysource/a-new-european-commission-faces-three-key-issues-at-the-heart-of-the-clean-energy-transition/

lessened their reliance on Russian energy. Between March and July of 2022, the *Moscow Times* reported that China imported \$35 billion in Russian gas, oil, and coal, a 75 percent increase from the same period in 2021.³ Additionally, this commitment to an energy partnership between these two nations is exemplified by new partnerships between Beijing and Moscow that enable the construction of additional natural gas pipelines between the countries.⁴ In addition to strengthening fossil fuel ties with Russia, China invested \$890 billion into renewable energy innovation and manufacturing, especially in electric vehicles, solar PV, and energy storage sectors. The investment represented a 40% increase when compared with 2022, demonstrating China's commitment to continue leading renewable energy manufacturing and development globally.⁵ Although establishing direct causation between the European energy crisis and this uptick in investment is impossible, it is plausible that the European energy crisis emboldened Chinese officials and investors to continue developing the renewable energy industry to safeguard against future energy calamities. China's successful actions following the energy crisis exemplify its commitment to diversifying its fossil fuel sources while also pioneering the global clean energy revolution through manufacturing.

China and EU member states are uniquely positioned to negotiate partnerships that stabilize European energy multilaterally. The *International Energy Agency (IEA)* reports that China is the leading producer of renewable energy technologies and contains over 60 percent of the world's manufacturing capacity.⁶ This demonstrates that China must work with the EU to alleviate external supply chain pressures by immediately increasing the quantity of imported renewable energy technologies manufactured in China and removing all trade barriers. In addition, many European nations, especially in Central and Eastern Europe, are struggling with energy storage, particularly LNG and renewable energy storage. With the recent opening of the world's largest LNG storage terminal in China, the UN must establish partnerships between European nations and China to construct additional LNG terminals along Europe's coastlines. Additionally, the EU must emphasize the importance of fostering internal alliances between European countries, allowing for the transportation of LNG between coastal and landlocked nations. China recommends the *European Investment Bank* invest \$6 billion in additional pipelines between EU countries. The *Chinese National Energy Administration* shall invest a further \$3 billion into constructing six medium-sized LNG terminals strategically placed across Europe. The expected completion of both projects will be July 1st, 2027. Although these measures will alleviate short-term strain on the European energy market, the EU and China must embrace more substantive partnerships. This collaboration should involve knowledge transfers, European manufacturing that utilizes Chinese technology, AI-enabled energy management, and innovation with new forms of renewable energy, including hydrogen and biomethane. By mutually adopting the REPowerEU 2022 Plan through unmatched collaboration, China and Europe's economy and energy markets will benefit significantly.

³ Times, The Moscow. "China's Energy Imports from Russia Spike to \$35B – Bloomberg." *The Moscow Times*, 22 Aug. 2022, themoscowtimes.com/2022/08/22/chinas-energy-imports-from-russia-spike-to-35b-bloomberg-a78623.

⁴ "Q&a | China-Russia Energy Relations One Year after the Invasion of Ukraine - Center on Global Energy Policy at Columbia University SIPA | CGEP %." *Center on Global Energy Policy at Columbia University SIPA | CGEP*, 2023, www.energypolicy.columbia.edu/qa-china-russia-energy-relations-one-year-after-the-invasion-of-ukraine/. Accessed 29 Nov. 2024.

⁵ Myllyvirta, Lauri. "Analysis: Clean Energy Was Top Driver of China's Economic Growth in 2023." *Carbon Brief*, 25 Jan. 2024, www.carbonbrief.org/analysis-clean-energy-was-top-driver-of-chinas-economic-growth-in-2023.

⁶ IEA. "Clean Energy Supply Chains Vulnerabilities – Energy Technology Perspectives 2023 – Analysis." *IEA*, 2023, www.iea.org/reports/energy-technology-perspectives-2023/clean-energy-supply-chains-vulnerabilities.

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